

The world in brief

Catch up quickly on the global stories that matter



Photograph: Maxim Shemetov/Pool Reuters via AP

Vladimir Putin and **Xi Jinping** began talks in Beijing. They will focus on economics, Russia's leader said. China has avoided criticising Russia's [war in Ukraine](#) while buying Russian oil and gas. Russia has become increasingly reliant on such support. The leaders are expected to discuss building [a long-touted gas pipeline](#) between the two countries.

Donald Trump claimed that **Iran** is “begging” to make a deal to end [the war](#) with **America**, but threatened “another big hit” within days if one is not reached. America's president said that he had been “an hour away” from ordering an attack on Tuesday but relented at the request of Iran's leaders. Kazem Gharibabadi, Iran's deputy foreign minister, said his country was “prepared to confront any military aggression”.

Todd Blanche, America's acting attorney-general, said that the **Internal Revenue Service** is “FOREVER BARRED” from continuing any existing audits against the Trump family or its businesses. On Monday the president settled a lawsuit against the tax agency in which he had demanded \$10bn because an IRS contractor had leaked his tax returns. In return for dropping [the shakedown](#), Mr

Trump won his supporters \$1.8bn in compensation for government “lawfare”.

Google said it will introduce “Spark”, a new AI agent, to its search engine. The bot will draw on user data from products such as Gmail and Maps to carry out tasks. The tech giant also unveiled smart glasses—a decade after it shelved [Google Glass](#). The specs—intended to rival Meta’s Ray-Bans—respond to voice commands and can take photos and videos.

Mr Trump’s purge of MAGA infidels claimed another victim. [Thomas Massie](#), a Kentucky congressman, lost a primary to a Trump-backed candidate. Last week [Bill Cassidy](#), a senator for Louisiana, also lost his primary. The president endorsed **Ken Paxton**, Texas’s attorney-general, in the state’s upcoming Republican Senate primary because [John Cornyn](#), the incumbent, “was not supportive of me when times were tough”.

The World Health Organisation’s boss said he was “deeply concerned about the scale and speed” at which an **Ebola** outbreak in the Democratic Republic of Congo has spread. At least 131 people have died from the virus and more than 500 have been infected in the regions along the border with Uganda. The WHO has declared the [flare-up](#) a “public-health emergency of international concern”.

Thailand will scrap a scheme introduced in 2024 that grants visitors from 90 countries a 60-day visa exemption. The decision was provoked by a series of high-profile crimes involving foreigners, including drug offences, sex trafficking and running illegal businesses. Tourism accounts for 10% of GDP in [South-East Asia’s third-largest economy](#), but arrivals have yet to recover to pre-pandemic levels.

Figure of the day: \$2,030, the price of the cheapest tickets for the World Cup final—the most expensive cultural event ever. But FIFA’s

pricing could backfire.



Photograph: Getty Images

A test for the AI frenzy

Nvidia's earnings have become a bellwether for the artificial-intelligence business. The world's most valuable company reports quarterly results on Wednesday. Analysts think revenue in the first quarter reached \$78.5bn. That would be a rise of more than 78% year on year and would set a record. But investors may greet the numbers with caution. They are worried about whether the [chipmaker's customers](#) will continue their buying spree.

A looming challenge for Nvidia is the rise of “agentic AI”, in which computer systems carry out complex tasks on their own. That is expected to raise demand for central processing units, the sort of chips made by its competitors, Intel and AMD. Geopolitics is another worry. Nvidia's future in China, once one of its biggest markets, is uncertain. In December the American government allowed the American company to sell its H200 chips to China. But Donald Trump recently said that China had not approved purchases because it wants to “develop their own”. Chinese chip designers may not match Nvidia at the top end yet. But for China's AI firms, “good enough” may be good enough.



Photograph: Getty Images

The future of Commerzbank

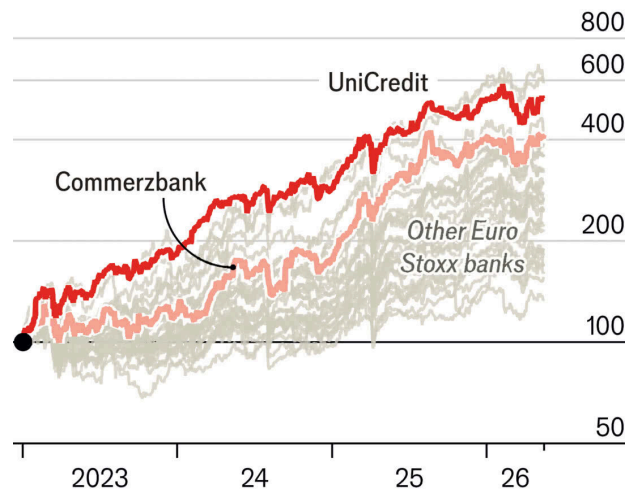
On Wednesday Commerzbank will hold perhaps the most eventful annual general meeting of its 156-year history. At stake is the survival of Germany's second-largest listed bank. Unibank, an Italian bank, is trying to buy it cheaply, for €35bn (\$41bn), using its own shares as currency. On May 18th the German bank urged its shareholders to reject the offer.

Over the past couple of years UniCredit has built a 36% stake in Commerzbank through share purchases and derivative contracts. Andrea Orcel, the Italian bank's boss, wants to buy the rest in order to merge Commerzbank with HypoVereinsbank, a German bank UniCredit bought in 2005. But Commerzbank's bosses see UniCredit's offer as an attack on its [tried-and-tested business model](#). They also think that Mr Orcel's offer is too low and that his targets for cost savings are unrealistic. This month Commerzbank presented the strategy it would adopt if it remains independent, which includes 3,000 job cuts. It is about to find out whether shareholders will endorse it.

Festa alla milanese

Share prices, January 2nd 2023=100

Log scale



Source: Bloomberg



Photograph: Getty Images

China's narrow reflation

The [war in the Gulf](#) has raised inflation around the world. But the price shock hits differently in China. Prior to the conflict, inflation in the world's second-biggest economy was uncomfortably low. Producer prices had fallen, year on year, for 41 months in a row.

The war broke that grim sequence: producer prices rose a little in March and by 2.8% in April. This jump may deter the central bank from cutting interest rates this year, and the “loan prime rate” that commercial banks charge their best customers remained unchanged when it is announced on Wednesday. But this inaction may prove to be a mistake. China's reflation is narrow and domestic spending is still painfully weak. It may seem counterintuitive to ease monetary policy when inflation is rising. But that may be the only way to ensure that China doesn't slump back into deflation when the energy shock passes.



Photograph: EPA

A growing crisis in Indonesia

In a hastily scheduled address to parliament on Wednesday, Indonesia's president, Prabowo Subianto, unveiled a new body to control commodity exports. The aim appears to be to generate additional revenue from trade. Indonesia is the world's biggest exporter of thermal coal, nickel and palm oil. Its government needs the money if it is to stay under its legal budget-deficit cap of 3% of GDP.

Mr Prabowo's unusual address adds to the deepening [sense of crisis in Indonesia](#). On Tuesday the rupiah hit a record low against the dollar; the bourse lost 3.5% of its value. Over the weekend the president dismissed concerns about the rising cost of dollars, telling a crowd that villagers do not use them. That will do little to allay growing unease in the country.



Photograph: AP

Korean football diplomacy

Cheering crowds greeted the squad of Naegohyang FC, a North Korean football team, on their arrival in South Korea this weekend. On Wednesday they will face South Korean rivals in the AFC Women's Champions League semi-final—a rare instance of engagement between the countries, which are technically at war.

Inter-Korean dialogue has [ground to a halt](#) in recent years. This month North Korea abandoned its official goal of reunification with South Korea, having called its neighbour “the most hostile state” in recent years. But South Korea has said it wants to pursue “peaceful co-existence”. It has cracked down on acts that could irritate the North, such as activists sending propaganda balloons over the border. Its ruling Democratic Party suggested the football game could be “the first step towards tearing down high barriers”. If that may be too optimistic, there will at least be one big winner: [women's football](#), which usually gets little attention in South Korea.



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Which famous American landmark had the letters “land” removed in 1949?

Tuesday: Who along with his then wife Melinda, founded one of the world's largest charitable foundations in 2000?

*That so few now dare to be
eccentric, marks the chief danger
of the time.*

John Stuart Mill